IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an Appeal made under Section 331 of the Code of Criminal Procedure Act No.15 of 1979.

Court of Appeal Case No: CA/HCC/ 0087/2016
High Court of Colombo Case No. 2501/2005

Lanka Deeganage Amarapala

ACCUSED-APPELLANT

Vs.

The Hon. Attorney General
Attorney General's Department
Colombo-12

COMPLAINANT-RESPONDENT

BEFORE : **P. Kumararatanm, J.**

R. P. Hettiarachchi, J.

COUNSEL : **A.S.M. Perera, PC with Chaturika Witharana for the Accused Appellant.**

Oswald Perera, SC for the Respondent.

ARGUED ON : **02/12/2025**

DECIDED ON : **12/02/2025**

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JUDGMENT

P. Kumararatnam, J.

The above-named Accused-Appellant (hereinafter referred to as the Appellant) was indicted by the Attorney General in the High Court of Colombo for committing the following charges:

1. Between 01.06.2001 and 30.06.2001, the accused falsely represented to the Director of the Meteorological Department that the total salaries payable to the clerical officers amounted to Rs. 196,155.96, when in fact the actual amount payable was Rs. 174,578.96, thereby dishonestly causing a loss of Rs. 21,577**/-** to the State which is an offence punishable under Section *5(2) of the Offences Against Public Property Act No. 12 of 1982), read with Section 400 of the Penal Code.*

2. Between 01.07.2001 and 30.07.2001, the accused falsely represented that the total salaries payable were Rs. 188,379.94, when in fact the actual amount payable was Rs. 177,792.97, resulting in a loss of Rs. 10,587**/-** to the State which is an offence punishable under Section

5(2) of the Offences Against Public Property Act No. 12 of 1982), read with Section 400 of the Penal Code.

3. Between 01.10.2001 and 30.10.2001, the accused falsely represented that the total salaries payable amounted to Rs. 256,563.77, while the actual amount due was Rs. 234,986.77, thereby causing a further loss of Rs. 21,577**/-** to the State which is an offence punishable under Section *5(2) of the Offences Against Public Property Act No. 12 of 1982), read with Section 400 of the Penal Code.*

4. During the period relevant to Counts 01, 02, and 03, the accused dishonestly misappropriated a total sum of Rs. 53,741/-, constituting an offence under Section 5(1) of the Offences Against Public Property Act No. 12 of 1982, read with Section 386 of the Penal Code.

After leading evidence of PW1, PW2, PW3, PW07+4, PW05, PW07, PW08, PW10 and PW11 and marking productions P1 to P5 the prosecution had closed their case.

The learned High Court Judge had called for the defence and the Appellant had given evidence from witness box and called a witness and closed his case.

After considering the oral and documentary evidence provided, the Learned High Court Judge of Colombo, by way of her judgment dated 21.01.2016, found the Appellant guilty on all four counts and sentenced the Appellant as follows:

In respect of Charges 01, 02 and 03: Two (02) years of rigorous imprisonment on each count, with a fine equivalent to three times the value of the amount cheated, as follows:

- Count 01 - Rs. 64,731/-
- Count 02 – Rs. 31,761/-
- Count 03 – Rs. 64,731/-

The default sentence for each fine is six (06) months of simple imprisonment. These sentences for Counts 01, 02 and 03 were ordered to run concurrently.

In respect of Charge 04: Two (02) years of rigorous imprisonment.

Being aggrieved by the aforesaid conviction and sentence, the Appellant preferred this appeal to this court. The Appellant, who was on bail, was present in Court when the matter was argued.

At the very outset the learned President's Counsel for the Appellant brought to the notice of the Court that in the connected matter the Appellant was acquitted by the learned High Court Judge of Colombo.

The learned State Counsel in keeping with the highest traditions of the Attorney General's Department, conceded that the conviction is bad in law. The learned State Counsel made submissions to substantiate his position.

As per the State Counsel, at all material times, the Appellant served and worked only as a Salaries Clerk attached to the respective division of the Meteorological Department, thereby, only serving in a subordinate administrative position. Notably, the Accountant (PW02) was responsible for the overall financial control, administration and supervision in respect of the payments of salaries, along with the aid of the Shroff (PW04). Both the Accountant and the Shroff held the primary supervisory responsibility to overlook the entire salary disbursement process.

In such circumstances, the commission of an offence of Cheating, punishable under Section 400 of the Penal Code read with Section 5(2) of the Offences Against Public Property Act No.12 of 1982 (as amended) could not have taken place in isolation. In relation to such a severe offence, in its inherent nature, one can reasonably assume that coordination and concurrence between multiple officers involved in the processes of preparation, handling, supervision and administration of the salary payments, enabled such an offence to take place.

After a careful consideration of the record, it is quite evident that such a falsification could not have only affected the Appellant. This is due to the existing established administrative procedure that requires the relevant documents to be subjected to various levels of scrutiny and approval, after the initial preparation of the salary summary. This proves includes verification by the Accounts Division, examination by the Accountant, certification by the Assistant Director General and a final approval by the Director General. As such, these documents which are now alleged to have been falsified, were approved and authorised at these specified levels by the specified senior officers who have been granted the authority and power to make decisions and approve.

In such a situation, the sole responsibility for the alleged offence cannot be put merely on the Appellant, as the Appellant operated at the lowest level of this overall administrative hierarchy. When such senior officers have affixed their signatures and approved and authorised such documents, it implies that such authorization carries accountability for the content of the documents. Therefore, it is legally not plausible to impose exclusive criminal liability on merely the Salaries Clerk, while allowing superior officers, who were clearly responsible for exercising due diligence and oversight, to escape and not face any legal liability whatsoever. The material would at least disclose the negligence and failure of supervision of these officers; therefore, it would be unsafe and unjust to subject only the Appellant to criminal

culpability. It should be noted that when the prosecution alleged that in the respective charges within the indictment that the Appellant had cheated, the Director General (PW1) had not given evidence to the effect that he was cheated by the Appellant. His position in this regard was correct as he had not been given any document for payment approval by the Appellant.

In respect of the collection and handling of cash withdrawn from the bank, it must be noted that PW04, the Shroff, was the senior officer responsible for collecting cheques, withdrawing cash and maintaining the safe custody of such funds. Although the accused Appellant would have accompanied PW04 on certain instances, PW04 bore the legal and administrative responsibility for the collection, custody and handling of cash. Additionally, the Accountant was responsible for ensuring that the Accounts Division duly receives the total sum withdrawn and properly supervises the process of packeting individual salaries. Such functions were carried out under the authority and supervision of both the Accountant and the Shroff, who occupied positions of seniority within the Department.

It is also important to note that the Accountant had a continuing duty to verify that the cash withdrawn was correctly packed and disbursed to each employee who is entitled to receive a salary, while also being responsible for ensuring that such disbursements corresponded with the approved salary summary. As per the available evidence, any remaining balances after the packeting of individual salaries were retained by PW04. Further, the custody, authority and handling of such funds remained with the Accountant and the Shroff. Therefore, the overall salary disbursement process was based upon a framework of collective responsibility, which involved various officers such as the Accountant, the Shroff, the Assistant Director, and other supervisory personnel. Considering such a context, it is understandable how the blame may fall upon the smallest or weakest link in the chain, thus enabling the officers with the power and authority to escape accountability and evade scrutiny. Such an outcome, is undoubtedly, unjust and unreasonable.

In situations where such an authorization was conferred at various different supervisory levels, legally, it would be unsafe to hold merely the Appellant accountable and criminally responsible. As per the settled principles of criminal jurisprudence, where a doubt may arise in respect of the culpability of the Appellant, such a doubt should have been resolved in the Appellant's favour. As such, his appeal is allowed. He is acquitted from all the charges.

The Registrar of this Court is directed to send this judgment to the High Court of Colombo along with the original case record.

JUDGE OF THE COURT OF APPEAL

R. P. Hettiarachchi, J

I agree

JUDGE OF THE COURT OF APPEAL